CREDIT RATING AGENCIES AND CREDIT RATINGS

Learning Outcome

- describe the uses of ratings from credit rating agencies and their limitations

The three major credit rating agencies—Moody's Investors Service ("Moody's"), Standard & Poor's ("S&P"), and Fitch Ratings ("Fitch")—play a central role in the credit markets. The rating agencies independently assess issuer credit risk on a forward-looking basis using quantitative and qualitative analysis. For most outstanding corporate and sovereign bonds, at least two of the agencies provide **credit ratings**, a symbol-based measure of the potential risk of default of a particular bond or issuer of debt.

Many bond investors use credit ratings to provide direct and easy comparability of the relative creditworthiness of all bond issuers, within and across industries and bond types, although there is some debate about ratings comparability across the types of bonds. Changes in credit ratings provide a broad overview of changing credit market conditions. In individual bond or issuer cases, they may trigger covenants, changes to debt pricing for step-up bonds, or other contractual clauses. **Credit migration risk**, or downgrade risk, is the risk that a bond issuer's creditworthiness deteriorates, or migrates to a lower rating, leading investors to believe the risk of default is higher. Credit ratings are also widely used to satisfy regulatory, statutory, and contractual requirements.

Ratings are issued on behalf of the issuer. To issue a rating, the rating agencies often meet with the issuer and in some cases receive access to material non-public information, such as financial projections unavailable to public investors. Rating agencies monitor the ongoing performance of debt issuers once a rating is issued, adjusting ratings higher as credit risk decreases or lower if a default is deemed more likely. In addition, credit agencies may issue a positive or negative outlook as creditworthiness improves or deteriorates but a rating change is not yet warranted.

A rating agency's forward-looking analysis may overlook or underestimate key financial risks. For example, rating agencies were widely criticized for contributing to the Global Financial Crisis of 2008–2009 given what came to be seen as overly optimistic ratings on subprime mortgage-backed securities following the sharp decline in housing prices. This led to regulatory attempts to reduce the dominant role of the major credit rating agencies. As a result of these new rules, regulations, and legislation, credit rating agencies have become more transparent and reduced their conflicts of interest. Additional credit rating agencies have emerged both globally and locally. Some credit rating agencies are well-established in their home markets but are less well-known globally, such as Dominion Bond Rating Service (DBRS) in Canada and Japan Credit Rating Agency (JCR) in Japan. The market dominance of the largest credit rating agencies and the prevalence of the "issuer pay" model, however, remain largely intact and unchallenged.

Credit Ratings

The three major global credit rating agencies use similar, symbol-based ratings that assess a bond issue's risk of default and the potential loss the investor may suffer. Exhibit 7 compares their long-term rating scale ranked from highest to lowest. These are ratings for bonds with a maturity exceeding one year. Ratings on short-term debt follow a similar logic but are not shown here.

Exhibit 7:

		Moody's	S&P	Fitch	Rating Grade Description
Investment Grade	High-Quality Grade	Aaa	AAA	AAA	Highest credit quality, lowest level of credit risk
		Aa1	AA+	AA+	Very high credit quality with very low level of credit risk
		Aa2	AA	AA	
		Aa3	AA–	AA–	
	Upper-Medium Grade	A1	A+	A+	High credit quality with low level of credit risk
		A2	A	A	
		A3	A–	A–	
	Low-Medium Grade	Baa1	BBB+	BBB+	Good credit quality with moderate level of credit risk
		Baa2	BBB	BBB	
		Baa3	BBB–	BBB–	
Non-Investment Grade ("Junk" or "High Yield")	Low Grade or Speculative Grade	Ba1	BB+	BB+	Speculative with substantial credit risk
		Ba2	BB	BB	
		Ba3	BB–	BB–	
		B1	B+	B+	Highly speculative with high credit risk
		B2	B	B	
		B3	B–	B–	
		Caa1	CCC+		Substantial credit risk with default as a real possibility
		Caa2	CCC	CCC	
		Caa3	CCC–		
		Ca	CC	CC	Very high levels of credit risk with default either occurring or about to occur
		Ca	C	C	Default or default-like process has begun
	Default	C	D	D	In default (entered bankruptcy filings, administration, receivership, liquidation, or other formal winding-up procedure) with little prospect for recovery of principal or interest

Aaa or AAA rated bonds are triple-A and are "of the highest quality, subject to the lowest level of credit risk." Bonds rated Baa3/BBB– or higher are called "investment grade." Bonds rated Ba1 or lower by Moody's and BB+ or lower by S&P and Fitch, respectively, are considered speculative credit and increasingly higher default risk. These types of bonds are also referenced as: "low grade," "speculative grade," "non-investment grade," "below investment grade," "high yield," and more colloquially to specifically emphasize their inherent riskiness, "junk bonds." The D rating is reserved for securities that are already in default in S&P's and Fitch's scales. For Moody's, bonds rated C are likely, but not necessarily, in default. Issuers of bonds rated investment grade are generally more consistently able to issue debt and can borrow at lower interest rates than those rated below investment grade.

In comparison to high-yield bonds, investment-grade bonds have a lower risk profile, are less negatively affected by adverse economic and market conditions, and are more appropriate for institutional portfolios that face quality restrictions.

Credit Rating Considerations

While credit rating agencies perform a useful market function by classifying bonds based upon relative credit risk, market participants usually conduct their own analysis rather than exclusively relying on ratings when choosing investments. Sole reliance on credit ratings in making investment decisions includes pitfalls, such as the potential for rating agency decisions to lag market pricing of credit risk, overlook relevant financial risks, or involve

own conclusions regarding the credit risk of a given debt issue or issuer, particularly for investors in high-yield bonds or bonds that face a potential downgrade.

Credit ratings tend to be sticky and lag market pricing of credit risk.

- Bond prices and credit spreads often move faster than rating agencies change their ratings (or ratings outlook) in response to changes in perceived creditworthiness. Credit spreads change daily, whereas bond ratings, appropriately, change less frequently. Even over long time periods, however, credit ratings may lag changes in bond prices. Moreover, particularly for certain speculative-grade credits, two bonds with similar ratings may trade at very different credit spreads. This may result from the fact that credit ratings seek primarily to assess the expected loss, whereas for distressed debt, pricing is focused more on default timing and expected recovery rates.
- While ratings outlooks suggesting a possible future upgrade or downgrade are more closely aligned with market conditions, bond investors who wait for rating changes before making buy and sell decisions may underperform other investors who make portfolio decisions in advance of rating agency changes.

Some risks are difficult to capture in credit ratings.

- Examples include litigation risk, environmental risk, and natural disasters. Leveraged transactions, such as debt-financed acquisitions (i.e., changes in the capital structure through large stock buybacks), are often difficult to anticipate and thus to capture in credit ratings. Rating agencies may view complex risks very differently, resulting in divergent or **split ratings** between the agencies. For example, when WeWork Inc., a US-based real estate private start-up company with an asset light business model and negative cash flow, issued unsecured debt for the first time in 2018, it was rated BB– by Fitch, B+ by S&P, and Caa1 by Moody's.

Ratings may involve miscalculations or unforeseen changes not fully captured in a rating agency's forward-looking analysis.

- As mentioned earlier, credit rating agency analyses failed to anticipate the sharp decline in housing prices that led to the default of highly rated subprime mortgage bonds during the Global Financial Crisis of 2008–2009. Historical examples of complex accounting fraud that supported high issuer credit ratings for companies that subsequently defaulted, include Enron and WorldCom in the United States and Wirecard AG in Germany.

Example 3 highlights these considerations using the example of Wirecard AG.

EXAMPLE 3

Wirecard AG Ratings and Bond Prices

Wirecard AG is a German payments firm that issued unsecured debt in 2019 and was subsequently declared insolvent in June 2020 due to complex accounting fraud described in detail later in the curriculum. The price of Wirecard's bonds from issuance until insolvency is shown below:

Figure 1: Wirecard 0.5% Coupon 2024 Maturity Bond Price (% of Par)

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Source: Bloomberg.

Moody's initiated its coverage of Wirecard AG by issuing a Baa3 long-term issuer rating in August 2019. The company's debut public bond offering of EUR500 million in five-year senior unsecured debt with a fixed annual coupon of 0.5% was priced just below par in early September 2019.

On 15 October 2019, Wirecard's bond price fell below 85% of par following a *Financial Times* report alleging fraud and false accounting practices at the company. While Wirecard denied the claims and subsequently hired an independent auditor, doubts remained among debt and equity investors. Despite changes at the company's supervisory board and reports of a strategic investment from Japanese investment firm Softbank, the release of a critical independent audit in April 2020, delays in reporting audited financial results, and other irregularities contributed to ongoing investor concerns.

With Wirecard AG's bonds trading at a price near 80, Moody's placed the company on review for downgrade on 2 June 2020, citing these concerns but retaining an IG issuer rating. Two weeks later, Wirecard AG bond prices plunged to 40 as claims of fraud and missing cash balances were confirmed in mid-June. On 19 June 2020, Moody's downgraded the issuer to a sub-investment-grade B3 rating with a negative outlook and withdrew its credit rating altogether three days later, citing insufficient information to support the maintenance of a rating. The company filed for insolvency on 25 June 2020, and its bond price fell to below 20% of par value.

Investors who bought and held Wirecard AG bonds until 19 June 2020 solely on the basis of its IG credit rating suffered a substantial loss. The Wirecard example highlights the challenges faced by credit rating agencies in evaluating expected loss and adjusting credit ratings given a rapidly evolving series of events.

Question Set

1. Which of the following choices properly ranks ratings from the three major credit rating agencies from the lowest to highest credit risk?

A. B1, Ba2, Baa3
B. BBB+, Ba3, B–
C. Baa1, BB, Baa3

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bonds, investment-grade bonds have a _____ risk profile and are _____ negatively affected by adverse economic and market conditions.

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Solution:

In comparison to high-yield bonds, investment-grade bonds have a **lower** risk profile and are **less** negatively affected by adverse economic and market conditions.

3. Which of the following statements most accurately characterizes best practices for the use of credit ratings among analysts?

A. Analysts can generally rely on credit ratings and ratings outlooks to predict the market price of credit risk.
B. Analysts must incorporate credit ratings into their analysis to meet regulatory requirements.
C. Analysts should conduct their own credit analysis, as sole reliance on credit ratings to make investment decisions has several pitfalls.

Hide Solution

Solution:

C is correct. A is incorrect since credit ratings tend to lag rather than predict the market price of credit risk.

4. Which of the following statements best describes the relationship between credit ratings and market pricing of credit risk?

A. Credit ratings primarily seek to assess expected loss, while market pricing of credit risk for investment-grade bonds is primarily focused on default timing and expected recovery rates.
B. Credit rating outlooks tend to be more closely aligned with market conditions than credit ratings.
C. Credit ratings usually capture the market pricing of credit risk associated with debt-financed acquisitions.

Hide Solution

Solution:

The correct answer is B. A is incorrect, as while credit ratings primarily seek to assess expected loss, the market pricing of credit risk for distressed bonds is primarily focused on default timing and expected recovery rates.

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